Executive summary - Ixelles office conversion

Illustrative 120-room office conversion; no property selected or legal clearance. Initial acquisition, design/permitting, works and opening all fall inside a fixed20-year horizon.

Recommendation: HOLD / REDESIGN. All three constructed cases have negative pre-tax project NPV; even upside is below the proposed8% hurdle. No investment is approved.

All-inclusive monthly cost EUR570 is below proposed590 ceiling and above VUB449.30 institutional comparator. This is a price benchmark, not a validated income-affordability measure.

Base project NPV EUR -3,054,754. Maximum acquisition compatible with zero NPV is EUR 1,284,663; maximum works package EUR 1,496,228 exVAT. Neither is a verified available offer.

At unchanged acquisition, the upfront grant-equivalent gap is EUR 3,054,754. No subsidy award is assumed. Do not raise housing costs above the ceiling or reduce required standards.

One-page scenario investment dashboard

Downside: project NPV EUR -6,543,326; equity NPV EUR -5,919,057; capex EUR 12,270,764; operations 17.0 years; min DSCR 0.49.

Base: project NPV EUR -3,054,754; equity NPV EUR -2,696,877; capex EUR 10,657,470; operations 18.0 years; min DSCR 1.05.

Upside: project NPV EUR -1,158,620; equity NPV EUR -953,804; capex EUR 9,625,823; operations 18.5 years; min DSCR 1.02.

Base project IRR 5.04%; equity IRR 5.23%. Simple project payback 19.12 years, dependent on sale; discounted payback: not achieved within 20 years.

Base peak equity requirement EUR 5,673,432; equity multiple 2.44. Debt remaining at year20 EUR 771,396, deducted once from equity sale proceeds.

Legal gate: UNVERIFIED all scenarios. Affordability price policy: PASS all. NPV threshold: FAIL all. Minimum DSCR1.2: FAIL all (partial opening can bind).

NPV means value above the chosen discount hurdle; IRR is the annual break-even discount rate; DSCR is NOI / scheduled debt service; PBP is cumulative capital recovery.

Timeline, cost and financing

Base acquisition/diligence quarter0-1; permitting quarters1-4; works quarters5-8; opening quarter9 with ramp-up. Downside opens after quarter12; upside after quarter6. Assumed timelines, not permits or contractor promises.

Development capex is drawn across the actual quarterly schedule. Equity pays construction-period interest and1% debt facility fee. Quarterly loan amortization begins only after opening; balance at year20 is repaid at sale.

Works, professional fees, contingency and assumed nonrecoverable VAT are separate. Deposits belong to tenants and are excluded from project revenues. Working capital100000 is retained then recovered at exit.

Nominal rent growth2% and expense growth2.5% differ, reducing margin over time. Pre-tax financial screening excludes corporate taxes, depreciation shields and gain taxes; obtain a transaction-specific after-tax model before commitment.

Sensitivity and break-even

12month delay project NPV EUR -3,256,424; borrowing at6% equity NPV EUR -3,158,125.

Minimum occupancy required for project NPV0: 122.5%. Values above100% mean physically infeasible under other assumptions.

NPV without sale EUR -5,652,007. This excludes the value of an asset still owned; it is not a complete continued-operation valuation.

Terminal value uses sustainable year21 NOI / assumed capitalization yield, net of sale fee. Continued-operation comparison uses retained residual value without sale fee; it does not assume realized proceeds or resolve debt refinancing.

Sensitivity snapshots use the same quarterly financial engine; rerun finish.py after edits. Dynamic quarterly and annual scenario formulas update automatically in Excel.

Legal, risk and decision framework

Planning and office conversion: Use change and proposed student capacity require site-specific permit assessment; no address or lawful-use certificate provided. https://urban.brussels/storage/uploads/7782bb55-caef-4a03-9780-aac7547d23f5/Vademecum---changements-utilisation-soumis-permis.pdf

Housing quality: Regional safety/sanitation/equipment rules apply. 2026 student housing area framework includes 12m2 for one person; collective calculations and RRU/permit can add requirements. https://be.brussels/fr/logement/location/conformite-logement/normes-et-securite

Deposits: General regional cap two months rent for leases concluded/renewed from 1 Nov 2024; actual lease scope to verify. Deposits are client funds, not project revenue. https://be.brussels/fr/logement/location/bail-dhabitation/garantie-locative

Acquisition duty: General Brussels acquisition duty 12.5%; no owner-occupier abatement assumed. Exact transaction VAT regime requires tax advice. https://be.brussels/en/taxes-finances/taxes/property-related-taxes/registration-duties

Rent rules: Reference rent disclosure and qualified excessive-rent test apply; no invented statutory ceiling. https://be.brussels/fr/logement/location/bail-dhabitation/loyers-de-reference

Affordability benchmark: Brukot ordinary room median EUR590 inclusive of charges, updated28 Oct2026; asking statistic not income affordability. https://www.brukot.be/en/student-guide/rent-stats

University comparator: VUB institutional room449.30 all-inclusive 2026-27; restricted supply. https://www.vub.be/en/studying-vub/practical-info-for-students/student-housing/practical-housing-information

PEB/fire/accessibility: Energy/fire/accessibility scope depends on building and works; inspections and approvals pending. https://environnement.brussels/citoyen/reglementation/obligations-et-autorisations

Unresolved planning, measured capacity, shared facilities, fire/accessibility, municipal charges and PEB conditions block commitment. No exact grant eligibility or tax exemption is asserted.

Qualitative weights are management assumptions. Good transport or wellbeing scores cannot offset a failed legal or affordability condition.

Request address, permitted use, measured plans, contractor bids, owner tax assessment, financing term sheet, investor risk tolerance and income-affordability evidence.